

Largan Precision (3008.TW)

15 Apr 2026 10:31:04 ET

CITI'S TAKE

Largan’s share price has rebound by nearly 25% recently in one month given its resilient smartphone lens revenue and market expectation on its potential in CPO opportunity (news, Commercial Times, 13 Apr). Thanks to remaining solid iPhone demand and variable aperture design in 2H26, we are looking for stable ASP and market share for Largan. Nevertheless, we think its CPO opportunity remains remote in the next two years. The company will host analyst meeting on 16 Apr; we keep Neutral on Largan.

What is Largan working on in CPO? — During its previous earnings call, Largan’s management mentioned that they are still in early development of the optics for CPO, yet not providing any progress. We believe Largan’s opportunity is in lens arrays for coupling and collimation. However, coating capability, thermal reliability, and the shift toward wafer-level silicon photonics integration represent key gating factors. Based on current TSMC’s CPO design, it uses silicon lens formed on a carrier to perform optical collimation, working alongside grating couplers and metal reflectors to reduce insertion loss. This implies that future optical components must meet wafer-level integration, ultra-tight alignment, and co-optimization with photonics structures. Whether Largan can evolve from a component supplier to a co-development partner within TSMC’s silicon photonics ecosystem remains to be seen.

Stable iPhone order and ASP outlook — As Apple will only introduce new high-end series including Pro, Pro Max and foldable phone in 2H26, variable aperture is one of the key camera spec upgrades. We believe it will be able to support Largan in a better position in the main camera lens market share as optical lens calibration is critical, given changing aperture impacts depth of field, exposure, and lens aberrations, all of which are getting more complex, supporting a stabilizing ASP trend.

Potential GM upside on more favorable F/X — Due to recent F/X tailwind and better than seasonality iPhone lens orders in 1H26, we see potential earnings and GM upside for Largan in the near term. Yet the management is cautious on the near term monthly revenue trend in April and potentially the same for May, which would lead to a likely flat QoQ revenue trend in 2Q26. We expect Largan to resume better sequential recovery in 3Q26 with the new iPhone launch.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	25,915	194.17	44.8	14.5	2.0	14.8	3.0
2025A	21,275	159.40	-17.9	17.7	2.0	11.3	2.8
2026E	27,214	203.90	27.9	13.8	1.8	13.7	3.6
2027E	28,329	212.25	4.1	13.3	1.7	13.2	3.8
2028E	31,666	237.25	11.8	11.9	1.6	13.7	4.2

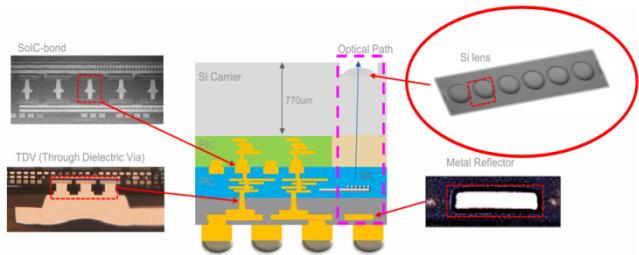
Source: Powered by dataCentral

3008.TW: Fiscal year end 31-Dec						Price: NT\$2,820.00; TP: NT\$3,060.00; Market Cap: NT\$376,380m; Recomm: Neutral					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	59,458	61,148	71,169	80,270	91,070	PE (x)	14.5	17.7	13.8	13.3	11.9
Cost of sales	-28,248	-30,311	-33,953	-38,457	-43,656	PB (x)	2.0	2.0	1.8	1.7	1.6
Gross profit	31,209	30,837	37,216	41,813	47,414	EV/EBITDA (x)	8.2	7.9	6.5	5.6	4.6
Gross Margin (%)	52.5	50.4	52.3	52.1	52.1	FCF yield (%)	4.2	2.7	5.4	7.6	8.3
EBITDA (Adj)	29,617	30,526	37,232	40,923	46,647	Dividend yield (%)	3.0	2.8	3.6	3.8	4.2
EBITDA Margin (Adj) (%)	49.8	49.9	52.3	51.0	51.2	Payout ratio (%)	44	50	50	50	50
Depreciation	-5,585	-6,968	-8,546	-9,902	-11,472	ROE (%)	14.8	11.3	13.7	13.2	13.7
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	24,032	23,558	28,685	31,022	35,174	EBITDA	29,617	30,526	37,232	40,923	46,647
EBIT Margin (Adj) (%)	40.4	38.5	40.3	38.6	38.6	Working capital	-4,417	-6,864	-8,254	-1,990	-3,437
Net interest	4,404	4,259	3,600	3,600	3,600	Other	2,178	-1,998	-1,472	-2,692	-3,509
Associates	0	3	200	200	200	Operating cashflow	27,378	21,664	27,507	36,241	39,701
Non-Op/Except/Other Adj	3,738	-1,919	1,280	280	280	Capex	-11,385	-11,504	-7,121	-7,701	-8,497
Pre-tax profit	32,174	25,900	33,765	35,102	39,254	Net acq/disposals	1,369	0	-200	-200	-200
Tax	-5,963	-4,340	-6,552	-6,772	-7,589	Other	-5,514	8,798	0	0	0
Extraord./Min.Int./Pref.div.	-296	-285	0	0	0	Investing cashflow	-15,531	-2,707	-7,321	-7,901	-8,697
Reported net profit	25,915	21,275	27,214	28,329	31,666	Dividends paid	-10,811	-11,412	-10,680	-13,661	-14,221
Net Margin (%)	43.6	34.8	38.2	35.3	34.8	Financing cashflow	-5,679	-16,674	-10,680	-13,661	-14,221
Core NPAT	25,915	21,275	27,214	28,329	31,666	Net change in cash	6,168	2,283	9,506	14,678	16,783
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	15,993	10,160	20,386	28,540	31,204
Reported EPS (\$)	194.17	159.40	203.90	212.25	237.25						
Core EPS (\$)	194.17	159.40	203.90	212.25	237.25						
DPS (\$)	85.50	80.02	102.36	106.55	119.10						
CFPS (\$)	205.13	162.32	206.09	271.53	297.46						
FCFPS (\$)	119.83	76.12	152.74	213.83	233.79						
BVPS (\$)	1,389.00	1,430.06	1,553.94	1,663.84	1,794.54						
Wtd avg ord shares (m)	133	133	133	133	133						
Wtd avg diluted shares (m)	133	133	133	133	133						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	21.7	2.8	16.4	12.8	13.5						
EBIT (Adj) (%)	35.0	-2.0	21.8	8.1	13.4						
Core NPAT (%)	44.8	-17.9	27.9	4.1	11.8						
Core EPS (%)	44.8	-17.9	27.9	4.1	11.8						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	113,658	115,942	125,447	140,126	156,908						
Accounts receivables	10,360	10,462	16,677	18,735	22,214						
Inventory	5,733	6,713	8,476	9,522	11,290						
Net fixed & other tangibles	46,936	51,472	50,047	47,846	44,871						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	39,839	36,198	44,216	47,993	54,239						
Total assets	216,527	220,787	244,863	264,222	289,522						
Accounts payable	1,855	1,728	1,912	2,238	2,714						
Short-term debt	203	0	0	0	0						
Long-term debt	0	0	0	0	0						
Provisions & other liab	29,081	28,191	35,549	39,915	47,294						
Total liabilities	31,139	29,919	37,461	42,152	50,008						
Shareholders' equity	185,388	190,868	207,402	222,069	239,514						
Minority interests	0	0	0	0	0						
Total equity	185,388	190,868	207,402	222,069	239,514						
Net debt (Adj)	-113,455	-115,942	-125,447	-140,126	-156,908						
Net debt to equity (Adj) (%)	-61.2	-60.7	-60.5	-63.1	-65.5						

For definitions of the items in this table, please click [here](#).

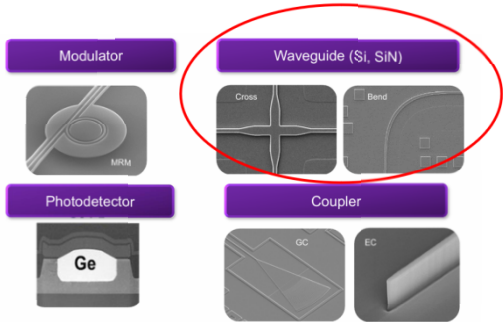
Maintaining Neutral; CPO opportunity takes time to materialize — We believe Largan's strong execution and expertise for optical lens design may support its long-term development in the CPO space, yet we do not expect it can materialize anytime soon in the next 1-2 years. We revise up our 2026/2027 earnings by 23%/24% reflecting better than expected flagship smartphone demand, in particular in iPhone and its leading position in the Apple supply chain. We also introduce our 2028E numbers. We lift our target price to now NT\$3,060, which is based on 15x our 2026 EPS estimate, in the mid-range of its PER. We maintain Neutral on the stock.

Figure 1. Opportunity for Largan's in CPO optics



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Source: Citi Research, SEMI, TSMC

Figure 2. Opportunity for Largan's in CPO optics



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Source: Citi Research, SEMI, TSMC

Figure 3. Largan – Estimates Revisions

(NT\$m)	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	71,169	58,240	22%	80,270	63,021	27%	91,070	na	na
Gross profit	37,216	30,492	22%	41,813	32,703	28%	47,414	na	na
Opex	(8,530)	(7,243)	18%	(10,791)	(8,471)	27%	(12,240)	na	na
Operating profit	28,685	23,249	23%	31,022	24,232	28%	35,174	na	na
Pre-tax profit	33,765	27,329	24%	35,102	28,312	24%	39,254	na	na
Net income	27,214	22,039	23%	28,329	22,851	24%	31,666	na	na
EPS (NT\$)	203.9	165.1	23%	212.3	171.2	24%	237.3	na	na
Gross margin	52.3	52.4	-0.1ppts	52.1	51.9	0.2ppts	52.1	na	na
Opex ratio	(12.0)	(12.4)	-0.5ppts	(13.4)	(13.4)	0.0ppts	(13.4)	na	na
Operating margin	40.3	39.9	0.4ppts	38.6	38.4	0.2ppts	38.6	na	na
Net margin	38.2	37.8	0.4ppts	35.3	36.3	-1.0ppts	34.8	na	na

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Source: Citi Research

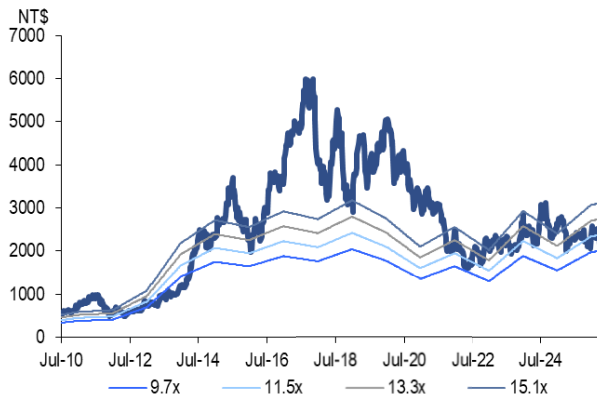
Figure 4. Largan – Citi Estimates vs. Consensus

(NT\$m)	2026E			2027E		
	Citi	Con.	Diff.	New	Old	Chg.
Sales	71,169	63,497	12%	80,270	67,012	20%
Gross profit	37,216	32,525	14%	41,813	34,744	20%
Opex	(8,530)	(7,520)	13%	(10,791)	(7,691)	40%
Operating profit	28,685	25,005	15%	31,022	27,053	15%
Pre-tax profit	33,765	29,600	14%	35,102	31,604	11%
Net income	27,214	23,974	14%	28,329	25,193	12%
EPS (NT\$)	203.9	179.0	14%	212.3	188.5	13%
Margins						
Gross margin	52.3	51.2	1.1ppts	52.1	51.8	0.2ppts
Opex ratio	(12.0)	(11.8)	-0.1ppts	(13.4)	(11.5)	-2.0ppts
Operating margin	40.3	39.4	0.9ppts	38.6	40.4	-1.7ppts
Net margin	38.2	37.8	0.5ppts	35.3	37.6	-2.3ppts

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Source: Citi Research, Bloomberg

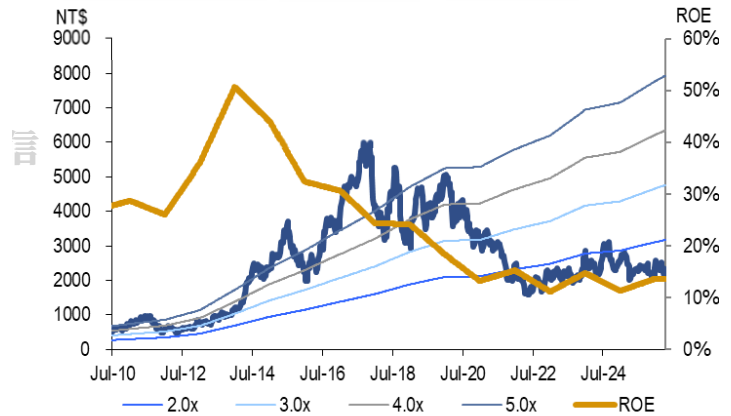
Figure 5. Largan – Forward P/E band



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Source: Citi Research, company data

Figure 6. Largan – Forward P/B band & ROE



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Source: Citi Research, company data

Figure 7. Largan – Forecast Summary

NT\$m	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	14,579	11,673	17,677	17,219	15,544	15,486	18,399	21,740	17,640	16,894	21,314	24,423	61,148	71,169	80,270	91,070
Gross profit	7,965	6,260	8,352	8,260	8,102	8,320	9,070	11,724	9,122	8,828	11,134	12,729	30,837	37,216	41,813	47,414
OPEX	1,878	1,381	2,088	1,932	1,865	1,920	2,245	2,500	2,417	2,264	2,813	3,297	7,279	8,530	10,791	12,240
Operating profit	6,086	4,879	6,265	6,329	6,236	6,399	6,825	9,224	6,705	6,564	8,320	9,432	23,558	28,685	31,022	35,174
Total Non-OP	1,630	(3,085)	1,890	1,907	2,020	1,020	1,020	1,020	1,020	1,020	1,020	1,020	2,342	5,080	4,080	4,080
Pre-tax profit	7,716	1,794	8,155	8,236	8,256	7,419	7,845	10,244	7,725	7,584	9,340	10,452	25,900	33,765	35,102	39,254
Income tax	1,173	738	996	1,434	1,524	1,503	1,257	2,268	1,426	1,536	1,496	2,314	4,340	6,552	6,772	7,589
Net profit	6,443	1,032	7,080	6,720	6,732	5,917	6,589	7,976	6,299	6,048	7,844	8,138	21,275	27,214	28,329	31,666
EPS	48.3	7.7	53.0	50.3	50.4	44.3	49.4	59.8	47.2	45.3	58.8	61.0	159.4	203.9	212.3	237.3
Margins (%)																
Gross profit	54.6	53.6	47.2	48.0	52.1	53.7	49.3	53.9	51.7	52.3	52.2	52.1	50.4	52.3	52.1	52.1
OPEX to Sales Ratio	12.9	11.8	11.8	11.2	12.0	12.4	12.2	11.5	13.7	13.4	13.2	13.5	11.9	12.0	13.4	13.4
Operating profit	41.7	41.8	35.4	36.8	40.1	41.3	37.1	42.4	38.0	38.9	39.0	38.6	38.5	40.3	38.6	38.6
Total Non-OP	11.2	(26.4)	10.7	11.1	13.0	6.6	5.5	4.7	5.8	6.0	4.8	4.2	3.8	7.1	5.1	4.5
Pre-tax profit	52.9	15.4	46.1	47.8	53.1	47.9	42.6	47.1	43.8	44.9	43.8	42.8	42.4	47.4	43.7	43.1
Net profit	44.2	8.8	40.1	39.0	43.3	38.2	35.8	36.7	35.7	35.8	36.8	33.3	34.8	38.2	35.3	34.8
Y/Y (%)																
Net sales	28.9	6.3	(6.7)	(5.4)	6.6	32.7	4.1	26.3	13.5	9.1	15.8	12.3	2.8	16.4	12.8	13.5
Gross profit	43.2	17.8	(12.2)	(23.6)	1.7	32.9	8.6	41.9	12.6	6.1	22.8	8.6	(1.2)	20.7	12.4	13.4
Operating profit	53.7	25.4	(19.7)	(24.5)	2.5	31.2	9.0	45.8	7.5	2.6	21.9	2.3	(2.0)	21.8	8.1	13.4
Pre-tax profit	3.9	(69.1)	3.9	(25.7)	7.0	313.7	(3.8)	24.4	(6.4)	2.2	19.1	2.0	(19.5)	30.4	4.0	11.8
Net profit	5.4	(77.1)	6.8	(22.5)	4.5	473.3	(6.9)	18.7	(6.4)	2.2	19.1	2.0	(17.9)	27.9	4.1	11.8
Q/Q(%)																
Net sales	(19.9)	(19.9)	51.4	(2.6)	(9.7)	(0.4)	18.8	18.2	(18.9)	(4.2)	26.2	14.6				
Gross profit	(26.4)	(21.4)	33.4	(1.1)	(1.9)	2.7	9.0	29.3	(22.2)	(3.2)	26.1	14.3				
Operating profit	(27.4)	(19.8)	28.4	1.0	(1.5)	2.6	6.7	35.1	(27.3)	(2.1)	26.8	13.4				
Pre-tax profit	(30.4)	(76.8)	354.6	1.0	0.3	(10.1)	5.7	30.6	(24.6)	(1.8)	23.2	11.9				
Net profit	(25.7)	(84.0)	586.0	(5.1)	0.2	(12.1)	11.4	21.1	(21.0)	(4.0)	29.7	3.8				

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Source: Citi Research, company data

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Bull/Bear: Largan Precision (3008.TW)



BULL Assumptions



- Higher than expected UTR or better than expected product mix
- Winning significant shares in lens market
- Based on 16x PER

BASE Assumptions



- Overall GM >50% in 2025-27E
- Stable share in lens market with steady lens upgrade trend

BEAR Assumptions



- Lower than expected UTR or worse than expected product mix
- Losing significant shares in lens market
- Based on 12x PER

Largan Precision

Company description

Largan is a plastic/glass/hybrid lens supplier in Taiwan with end-applications including phone cameras, DSCs, MFPs, and tablets. More than 80% of its revenue is driven by phone camera lenses.

Investment strategy

We rate Largan at Neutral as we expect the muted sales outlook in the near term would cap its share price performance. Nonetheless, we believe Largan will be a long-term winner in the lens market driven by: 1) its technology leadership; 2) intellectual property (IP) protection; and 3) better yield vs. competitors. In the longer term, we believe spec migration will continue to keep Largan ahead of competitors.

Valuation

Our target price of NT\$3,060 for Largan shares is based on 15x 2026E EPS, in line with Largan's 3-year forward PER average, which we think is justified as we see a muted sales outlook in the near term and a lack of share price catalyst ahead.

Risks

Key upside risks include: 1) stronger smartphone demand or replacement demand; 2) faster ramp of the yield rate; and 3) faster spec migration.

Key downside risks include: 1) weaker smartphone demand or replacement demand, and in particular, demand headwinds for certain key clients; 2) longer learning curve and slower ramp of the yield rate; 3) slower spec migration; and 4) FX volatility.

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Appendix A-1

ANALYST CERTIFICATION

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IMPORTANT DISCLOSURES

Largan Precision (3008.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	13-Apr-23 06:36:24	1	*2,680.00	2,155.00
2	13-Jul-23 07:56:55	1	*2,800.00	2,405.00
3	12-Oct-23 09:51:12	1	*2,520.00	2,150.00
4	07-Jan-24 20:04:59	1	*3,060.00	2,595.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	21-Jun-24 08:28:17	1	*3,560.00	2,595.00
6	05-Sep-24 09:18:51	1	*3,650.00	2,925.00
7	09-Jan-25 09:26:45	1	*3,920.00	2,595.00
8	10-Apr-25 09:42:59	1	*3,300.00	1,980.00

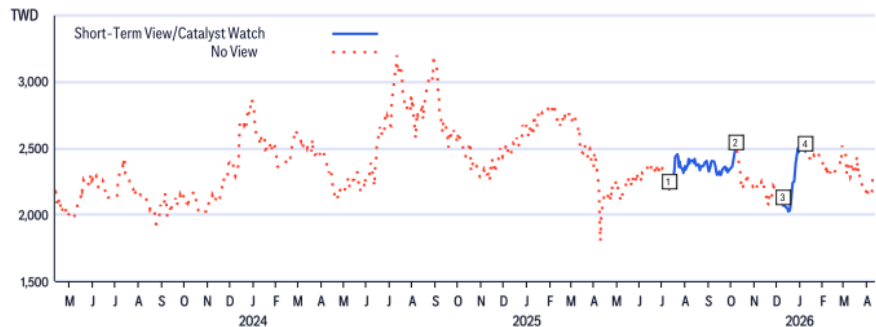
	Date	Rating	Target Price	Closing Price
9	10-Jul-25 08:26:53	1	*2,500.00	2,190.00
10	09-Oct-25 07:33:18	1	*2,755.00	2,470.00
11	09-Dec-25 06:01:38	*2	*2,150.00	2,070.00

Rating/target price changes above reflect Eastern Time

Largan Precision (3008.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 04:26:53	Add CW	Downside	90 Days	2,190.00
2	08-Oct-25 21:49:48	Remove CW	Downside	90 Days	2,485.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	09-Dec-25 01:01:38	Add STV	Downside	30 Days	2,070.00
4	08-Jan-26 19:58:44	Remove STV	Downside	30 Days	2,475.00

Rating/target price changes above reflect Eastern Time

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